AT&S Austria Technologie & Systemtechnik AG

Full investment research | Model assumptions and source evidence

1amInvesting | Full company research | Framework 8.0

AT&S

ATS.VI | Vienna Stock Exchange Prime Market | 2026-10-12

Q4 2027 model ceiling: EUR 451.77

Analytical Base 43/60 = 72 | Watchlist / Advanced substrates

20x forward-four-quarter IFRS EBIT, including the valuation quarter, less EUR953.955m opening net debt, EUR350m old hybrid and the unfunded construction cash reserve. Expected customer funding offsets 65% of that reserve. Divide by 40.4248031496m fully converted shares; the EUR400m convertible is never also deducted.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

Snapshot: EUR 226.00 on 2026-10-06. Model diluted shares at Q3 2026: 40.425m. Indicative diluted capitalization: EUR 9,136.0m. Quote and share dates/bases may differ; legal shares are reconciled in the analysis.

All operating values are in EUR m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP EURm	Multiple	Diluted shares M	Ceiling EUR
Q4 2027	Q4 2027 through Q3 2028	990.019134	20x	40.424803150	451.767481

The ceiling is a model valuation, not a guaranteed trading price or literal net-income P/E. Operating branches are weighted once. The existing linear enterprise-to-equity method, fully converted share convention and 65% customer-funding treatment are preserved. Pricing-induced EBITDA and cash-tax changes rebuild the same cumulative construction deficit reserve.

Same-horizon update	EUR millions unless per share
Previous saved target	438.750116600
Updated target	451.767481335
Economic target revision	+2.966920%
Incremental F4Q OP	26.191579247

Same-horizon update	EUR millions unless per share
Old funding reserve	674.882870250
Rebuilt funding reserve	668.046235886
Previous active financial claims	1,540.164004587
Updated active financial claims	1,537.771182560
Analytical Base / Excel Base	72 / 72, unchanged

Economic scope and matching claims

IFRS operating profit, matching debt, equity-classified hybrid and construction funding claims. 20x forward-four-quarter IFRS EBIT, including the valuation quarter, less EUR953.955m opening net debt, EUR350m old hybrid and the unfunded construction cash reserve. Expected customer funding offsets 65% of that reserve. Divide by 40.4248031496m fully converted shares; the EUR400m convertible is never also deducted.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use EUR m unless a different unit is stated.

Thesis

AT&S makes the fine interconnect structures that turn complex chips into usable systems. Its attraction is a combination of advanced substrate capability, rising manufacturing content per accelerator, and customer commitments that support a large Malaysian expansion. The company is already demonstrating better earnings rather than relying entirely on an unbuilt factory. The main analytical challenge is distinguishing durable shipment profit from the timing of customer agreements, construction, working capital and hybrid financing.

The reference model includes a substantial expansion. The additional probability-weighted contribution is deliberately narrower: remaining qualified Kulim output, pricing on a small pool of new orders, and residual power/optical applications after overlap with existing growth. A correlated materials and ramp downside offsets part of those gains. This is a capacity-and-execution thesis, with a meaningful balance-sheet claim ahead of common shareholders.

What the company sells and why the engineering matters

Microelectronics supplies high-end IC substrates; Electronics Solutions supplies complex printed circuit boards and related interconnect products. An ABF substrate links a semiconductor package to the board. It is neither the silicon die nor the silicon interposer, and its revenue should not be inferred from the whole accelerator price. Fine routing, layer count, dimensional stability and acceptable yields determine whether a supplier can deliver qualified products.

Chiplet designs make the substrate larger and more complicated. AT&S illustrates a transition with approximately four times the substrate area and eight times the manufacturing capacity requirement. The eightfold measure is the combined capacity burden; multiplying four by eight would count part of the same constraint twice. Larger panels can also generate fewer good units if additional process steps or warpage lower yield. Factory floor area alone is therefore an incomplete supply measure. AT&S investor presentation, page 5

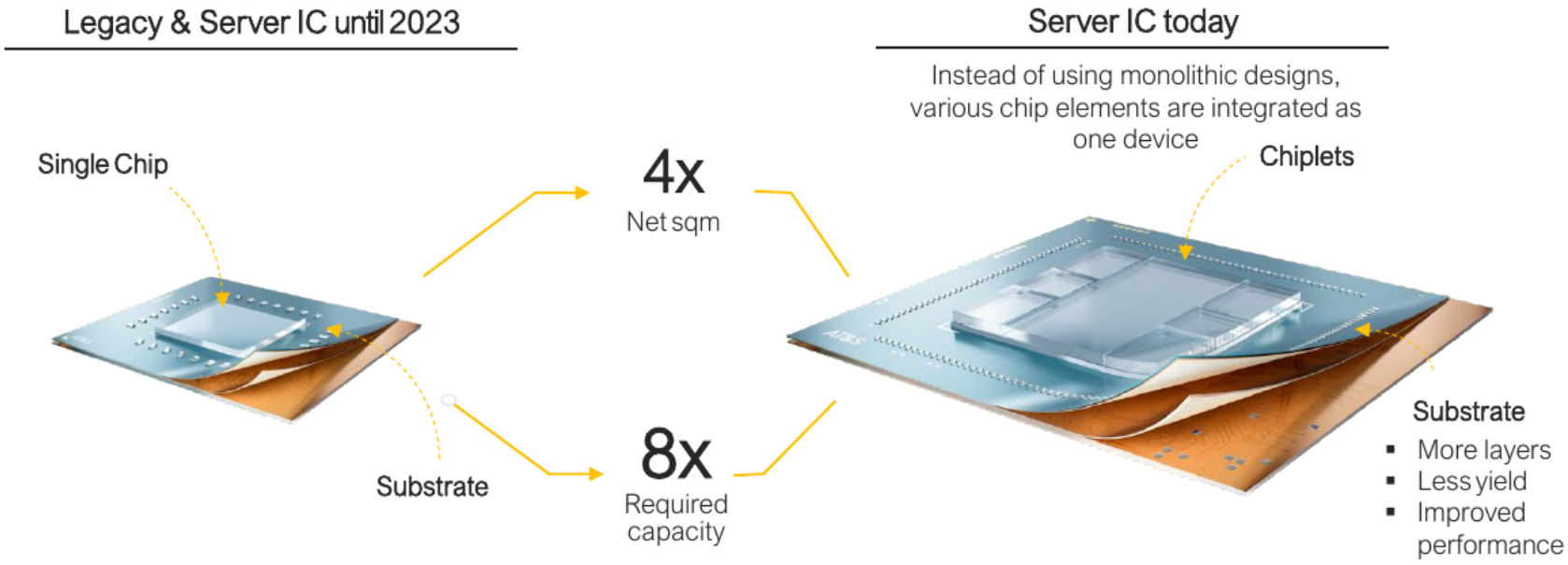
This distinction explains why qualified supply can tighten even while industry capital spending rises. It does not establish a universal eightfold increase in substrate revenue. Customers can redesign packages, use different interconnect approaches or qualify competitors. Ibiden, Unimicron, Kinsus, Nan Ya PCB and other established manufacturers compete for related sockets. Exact competitive overlap depends on technology, package geometry and customer qualification.

AT&S also presents EMIB, CoWoS/CoPoS and CoWoP architectures. These redistribute interconnect work among substrates, interposers and substrate-like PCBs. Some approaches create new opportunities for AT&S; others can remove a conventional component. The model consequently assigns revenue to AT&S's own products rather than treating every packaging innovation as an additive ABF market. Embedded power, AI testing and optical connectivity are useful adjacent capabilities, but do not give AT&S the revenue of a laser, DSP, switch or complete accelerator.

Investor_presentation.pdf | The company illustrates a server chiplet transition with 4x substrate area and 8x manufacturing capacity demand. The 8x already reflects the combined burden; 4x and 8x must not be multiplied into 32x. These are architecture examples, not revenue multipliers.

Increased data volume requires significant performance improvement in processors

Higher level of functional integration requires more sophisticated ABF substrates

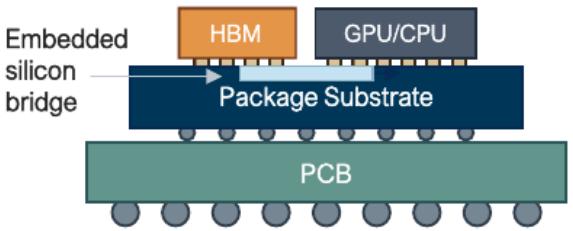


Investor_presentation.pdf | The company illustrates a server chiplet transition with 4x substrate area and 8x manufacturing capacity demand. The 8x already reflects the combined burden; 4x and 8x must not be multiplied into 32x. These are architecture examples, not revenue multipliers.

Investor_presentation.pdf | EMIB, CoWoS/CoPoS and CoWoP shift where interconnect layers sit. Packaging expenditure is not all ABF revenue; substrate-like PCB and interposer sales have different invoices and qualification paths.

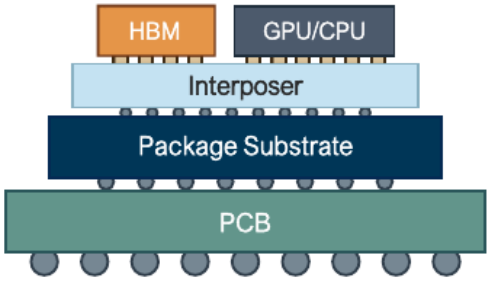
The role of Substrates and PCBs in Advanced Packaging

EMIB(-T)
Embedded Multi-die Interconnect Bridge
(with Through-Silicon Vias)



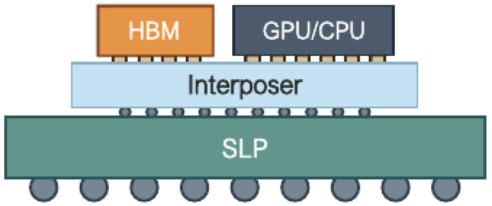
- Cutting-edge substrate technology
- Moving complexity to the substrate
- Scales cost efficient with size

CoWoS / CoPoS
Chip-on-Wafer-on-Substrates /
Chip-on-Panel-on-Substrate



- Advanced substrate technology
- Complexity balanced between interposer & substrate
- Size scaling requires larger interposer

CoWoP
Chip-on-Wafer-on-PCB



- Essentially merging Substrate and PCB technology
- Several new technology to be industrialized
- Size scaling requires larger interposer

24 AT&S Investor presentation – Q1 2026/27

Investor_presentation.pdf | EMIB, CoWoS/CoPoS and CoWoP shift where interconnect layers sit. Packaging expenditure is not all ABF revenue; substrate-like PCB and interposer sales have different invoices and qualification paths.

The current operating business has changed materially

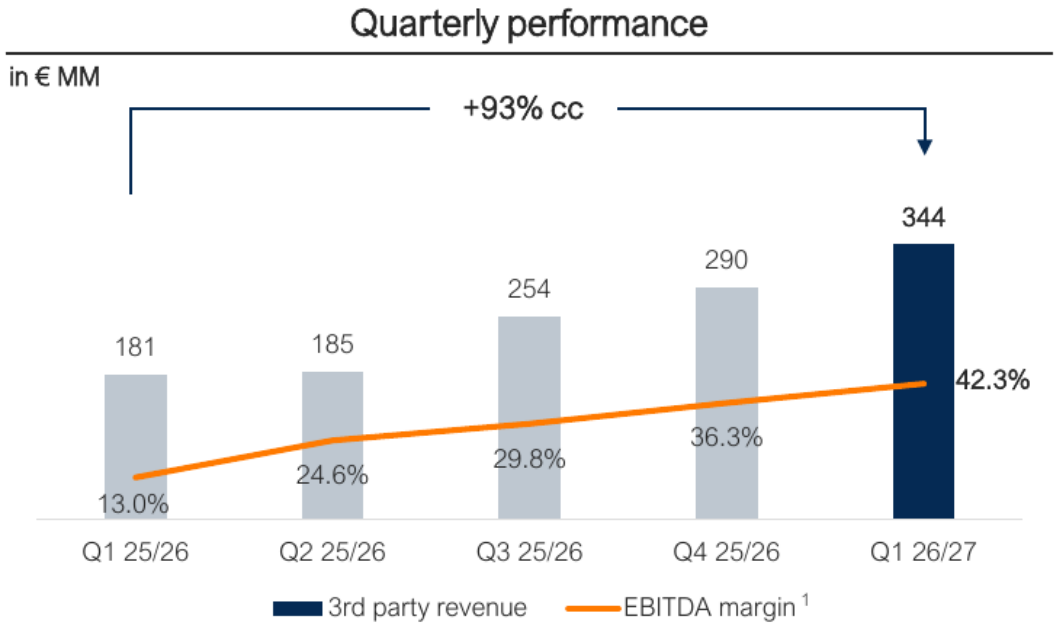
The latest filed quarter is April-June 2026, which AT&S calls Q1 FY2026/27 and this model labels calendar Q2 2026. Revenue was €548.697 million and gross profit €121.905 million. Selling expense of €14.990 million, administrative expense of €34.920 million and net other operating income of €1.363 million reconcile to €73.358 million EBIT. Depreciation and amortisation of €91.642 million take EBITDA to €165 million. The distinction matters: EBITDA is not the valuation numerator. Q1 financial report, pages 6-7

Microelectronics generated €343.662 million of external sales, €145.238 million EBITDA and €84.895 million EBIT. Its displayed 42.3% margin is EBITDA margin. Electronics Solutions produced €205.035 million external sales and €3.107 million EBIT, while other operations and central items contributed a €14.644 million loss. These external sales sum to group revenue; internal segment sales must not be added again. The forecast uses separate product gross-margin assumptions because segment gross profit is not disclosed.

The previous fiscal year ended March 2026 with €1.791 billion revenue, €418 million EBITDA and €65.641 million EBIT. The earlier year contained a substantial Korean disposal gain, which is unsuitable as recurring operating earnings. Research and development is already included in reported operating costs; subtracting it again would understate profit. Five customers represented 76.5% of last fiscal year's sales, so an increasing number of qualified customers does not eliminate concentration. FY2025/26 annual report

Q1_2026_27_call.pdf | Microelectronics external revenue was EUR343.662m, with EUR145.238m EBITDA and EUR84.895m EBIT. The 42.3% chart margin is EBITDA, not operating margin; agreement benefits are already embedded.

Microelectronics: Profitable growth further accelerates



- **Revenue:** Kulim and Leoben ramp, a strong demand from existing and new customers leading to improved utilization across all sites and improved pricing
- **Margin:** Volume leverage, improved pricing, and a shift towards more complex products driving margin
- High single-digit € MM impact from new customer agreements

1 EBITDA margin is calculated from total revenue.

10 AT&S Conference Call Q1 2026/27

Q1_2026_27_call.pdf | Microelectronics external revenue was EUR343.662m, with EUR145.238m EBITDA and EUR84.895m EBIT. The 42.3% chart margin is EBITDA, not operating margin; agreement benefits are already embedded.

Q1_2026_27_DE.pdf | Original statement is in EUR thousands. Model amounts are EUR millions. Reported EBIT of EUR73.358m reconciles from gross profit, selling/admin costs and net other operating income.

Konzern-Gewinn und Verlustrechnung

in Tsd. €	01.04.-30.06.2026	01.04.-30.06.2025
Umsatzerlöse	548.697	398.925
Umsatzkosten	(426.792)	(376.826)
Bruttogewinn	**121.905**	**22.099**
Vertriebskosten	(14.990)	(11.920)
Allgemeine Verwaltungskosten	(34.920)	(25.323)
Sonstiger betrieblicher Ertrag	12.169	9.134
Sonstiger betrieblicher Aufwand	(10.806)	(10.292)
Sonstiges betriebliches Ergebnis	1.363	(1.158)
Betriebsergebnis (EBIT)	**73.358**	**(16.302)**
Finanzierungserträge	5.983	6.329
Finanzierungsaufwendungen	(37.935)	(49.958)
Finanzergebnis	**(31.952)**	**(43.629)**
Ergebnis vor Steuern	**41.406**	**(59.931)**
Ertragsteuern	(556)	4.066
Konzernergebnis	**40.850**	**(55.865)**
davon vorgesehener Anteil Hybridkapitalbesitzer	4.555	4.363

Q1_2026_27_DE.pdf | Original statement is in EUR thousands. Model amounts are EUR millions. Reported EBIT of EUR73.358m reconciles from gross profit, selling/admin costs and net other operating income. Original exhibit, panel 1 of 2; read from top to bottom.

davon den Eigentümern des Mutterunternehmens zuzurechnen	36.295	(60.228)
Ergebnis je Aktie, das den Aktionären des Mutterunternehmens zusteht (in € je Aktie):		
– unverwässert	0,93	(1,55)
– verwässert	0,93	(1,55)

Konzern-Gesamtergebnisrechnung

in Tsd. €	01.04.-30.06.2026	01.04.-30.06.2025
Konzernergebnis	**40.850**	**(55.865)**
Zu reklassifizierende Ergebnisse:		
Währungsumrechnungsdifferenzen, nach Steuern	34.926	(142.333)
Gewinne/(Verluste) aus der Bewertung von Sicherungsinstrumenten aus der Absicherung von Zahlungsströmen, nach Steuern	(3.420)	(87)
Sonstiges Ergebnis	**31.506**	**(142.420)**
Konzerngesamtergebnis	**72.356**	**(198.285)**
davon vorgesehener Anteil Hybridkapitalbesitzer	4.555	4.363
davon den Eigentümern des Mutterunternehmens zuzurechnen	67.801	(202.648)

6

Q1_2026_27_DE.pdf | Original statement is in EUR thousands. Model amounts are EUR millions. Reported EBIT of EUR73.358m reconciles from gross profit, selling/admin costs and net other operating income. Original exhibit, panel 2 of 2; read from top to bottom.

Guidance is the near-term calibration anchor

August guidance calls for 45-55% constant-currency revenue growth and a 32-37% EBITDA margin for the year ending March 2027. Net investment is expected to reach €1.0-1.2 billion, with positive operating free cash flow supported by customer payments. This supersedes the lower May forecast. The active model produces approximately €2.674 billion revenue and €935 million EBITDA, a 35.0% margin, for that fiscal period. At unchanged exchange rates, sales growth is 49.3%, within the current guidance range. Q1 results presentation, pages 7-13

The model does not invent a separate customer-service sales line. Management says customer agreements already contributed a high single-digit million-euro earnings benefit in the June quarter, and it expects a high double-digit benefit from the Chongqing program during the fiscal year. Those effects are embedded in guidance and the reference margin path. The exact split between product revenue, agreement-related benefits and other operating income is not publicly reconciled. An €80 million annual EBIT allocation is used only to test the risk of agreement benefits failing to recur before physical shipments replace them.

Reported euros can differ from constant-currency guidance. Currency changes affected the June quarter, while major operations, customer receipts and costs span several currencies. The forecast assumes stable exchange rates and does not classify favourable translation as pricing power.

Customer-backed expansion and the capacity ceiling

The expansion program distinguishes Chongqing, Kulim Plant 1 and Kulim Plant 2 with in-house cores. Kulim Plant 1 already produces; Plant 2 is enclosed, with cleanrooms and equipment work progressing. Management describes €1.5-2.0 billion of Kulim investment through the beginning of FY2028/29 and high double-digit million-euro Chongqing investment through summer 2027. The schedule moves from construction and customer payments toward qualified volume shipments in 2028. Investor presentation, pages 13-14

The September 22 announcement identifies Marvell as the previously unnamed additional customer in the Kulim expansion. It confirms an expanded relationship and long-term capacity commitment, but discloses neither a contract value nor product quantities. It is the same program already discussed in June, not an extra order to stack on top. AT&S-Marvell agreement

Management’s rough industry relationship of one euro of investment to one euro of annual revenue provides an order-of-magnitude check. At the €1.75 billion investment midpoint, it supports approximately €1.75 billion of additional annual output after full ramp and qualification. It is not a contractual AT&S forecast. The reference already captures most of this expansion and growth in the existing business. The positive branch adds up to €440 million annual revenue beyond that reference by 2029, weighted at 75%, rather than assigning a new full factory to every customer announcement.

By 2030, the active model approaches €5.0 billion group revenue. This is an ambitious assumption, not management guidance. It requires sustained customer loading, qualified yield, growth in the legacy business and a larger Electronics Solutions franchise as well as the funded substrate expansion. A five-year model should not disguise these dependencies behind a high probability applied only to the final incremental branch.

Investor_presentation.pdf | Issuer schedule separates capacity construction, customer payments and later product sales. The industry capex-to-annual-revenue ratio of roughly 1:1 is a bounded model proxy, not committed AT&S sales.

Timing and financial impact of major growth programs

Capacity expansion for ABF substrates fully backed by long-term customer commitments

Program	2026/27	2027/28	2028/29
Chongqing expansion	Capacity build & ramp	Ramp & HVM	HVM
Kulim 1 expansion	Capacity build	Capacity build & ramp	HVM
Kulim 2 incl. Cores	Capacity build	Capacity build	Ramp to HVM
KPI			
Earnings impact	Strong Customer payments	Strong Customer payments & sales	Strong Mainly sales incl. first repayments
FCF impact	Broadly neutral	Increasingly positive	Strongly positive

CAPEX
- Chongqing: high double-digit million range till summer 2027
- Kulim: € 1.5 to 2.0 billion till beginning 2028/29

General assumption: CAPEX:Revenue relation in the industry roughly 1:1 p.a.

Investor_presentation.pdf | Issuer schedule separates capacity construction, customer payments and later product sales. The industry capex-to-annual-revenue ratio of roughly 1:1 is a bounded model proxy, not committed AT&S sales.

Investor_presentation.pdf | Substrate customers increase from 1 to 5 to 8 and an indicated 15 in FY2026/27. A customer count is not equal sales per customer, and the largest five still represented 76.5% of FY2025/26 sales.

Development of our IC substrates

Microelectronics
Applications in focus


High-performance computing


AI, edge computing and IoT


Servers

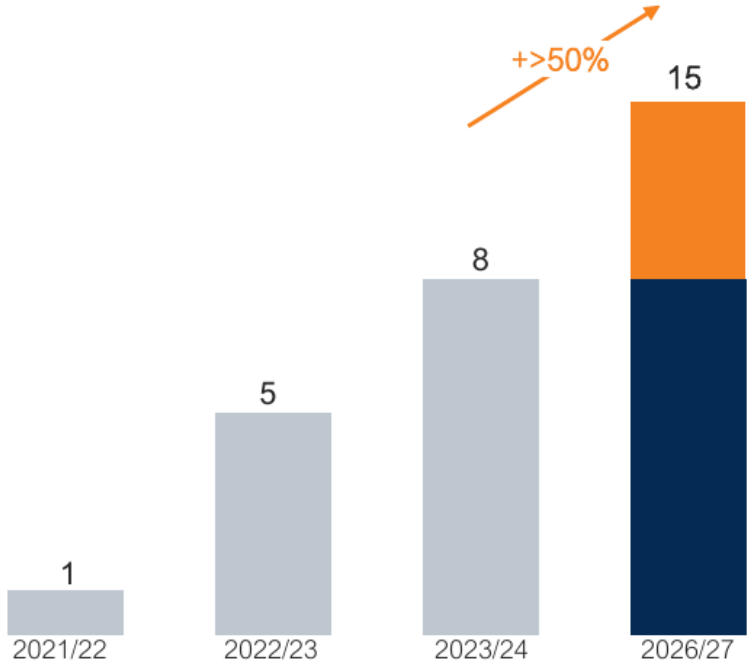

Cloud computing


Networking


5G base stations


Automotive

Main driver – customer diversification



29 AT&S Investor presentation – Q1 2026/27

Investor_presentation.pdf | Substrate customers increase from 1 to 5 to 8 and an indicated 15 in FY2026/27. A customer count is not equal sales per customer, and the largest five still represented 76.5% of FY2025/26 sales.

What each probability changes

The Kulim branch receives 75% probability because the customer agreement and investment program are concrete, while output, mix and timing remain uncertain. Its conditional incremental gross margin is 32%, with another 6% of revenue charged for engineering and operating overhead. This is below the mature reference Microelectronics margin and therefore allows for ramp inefficiency. It contributes little before the second half of 2027 and becomes material during 2028.

The pricing branch retains **35% economic probability** and the original **20% reference Microelectronics new/repriceable pool**. Only its magnitude is revised from the old 4% premium using the bounded industry-price bridge below. Fixed-price backlog, Electronics Solutions and conditional Kulim output are excluded. June pricing, customer agreement benefits and richer product mix are already embedded in the reference. Additional production/material/process costs consume 35% of price dollars; another 3% covers operating support, leaving 62% incremental EBIT. The source is an industry forecast, not observed company ASP.

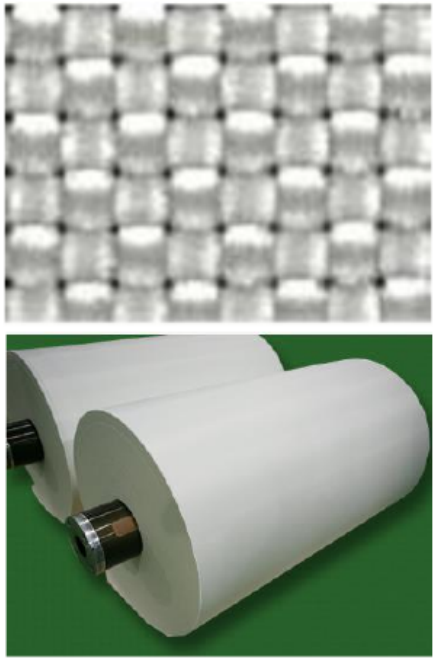
Power, test and optical adjacencies receive 35% probability. A bounded €180 million annual gross opportunity is reduced by 60% overlap with ordinary Electronics Solutions growth, leaving €72 million incremental annual revenue at maturity. A 28% gross margin less 8% operating expense yields a 20% conditional operating margin. This captures qualified interconnect content, not the entire optical or AI system wallet.

A 25% downside branch combines glass availability, manufacturing yield, acceptance and construction delay. Conditional lost sales reach 6% of reference Microelectronics revenue during 2027, with a 45% lost contribution margin and a separate 0.5 percentage-point scrap/idle cost. These correlated constraints are not counted as separate demand shocks. The loss tapers as capacity matures. AT&S is qualifying additional glass sources, but qualification does not prove unlimited supply or identical manufacturing performance. Investor presentation, page 20

Investor_presentation.pdf | T-glass availability is a specific 2027 risk. Qualification of additional sources helps, but does not verify adequate industry-wide supply or identical yield.

Supply chain

Risk of T-glass shortage



- Cores of PCBs and IC substrates get their stability from fiberglass mats (E-glass)
- Above a certain size, the fiberglass mats have to be more advanced (T-glass)
- The unexpectedly high growth in AI server chips has caused demand for T-glass to rise sharply and would exceed the currently available capacity next year
- AT&S has therefore qualified new suppliers together with its customers in order to mitigate the risk
- However, if the capacities of all suppliers remain below demand, this could have a negative impact on the growth of AT&S and the market as a whole

20 AT&S Investor presentation – Q1 2026/27

Investor_presentation.pdf | T-glass availability is a specific 2027 risk. Qualification of additional sources helps, but does not verify adequate industry-wide supply or identical yield.

Investor_presentation.pdf | Power embedding offers another qualified interconnect product. The illustrated AMD platform is evidence of application relevance, not a disclosed product-specific revenue or margin award.

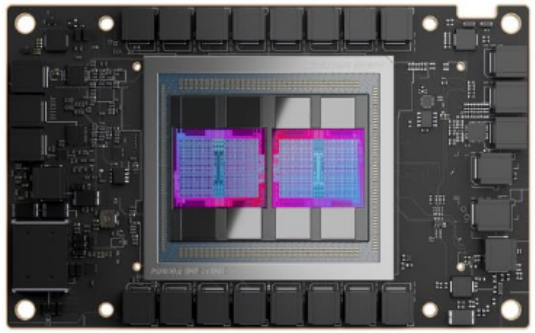
Enabling next generation power levels

Power stages at different locations enable unprecedented power levels

PMIC



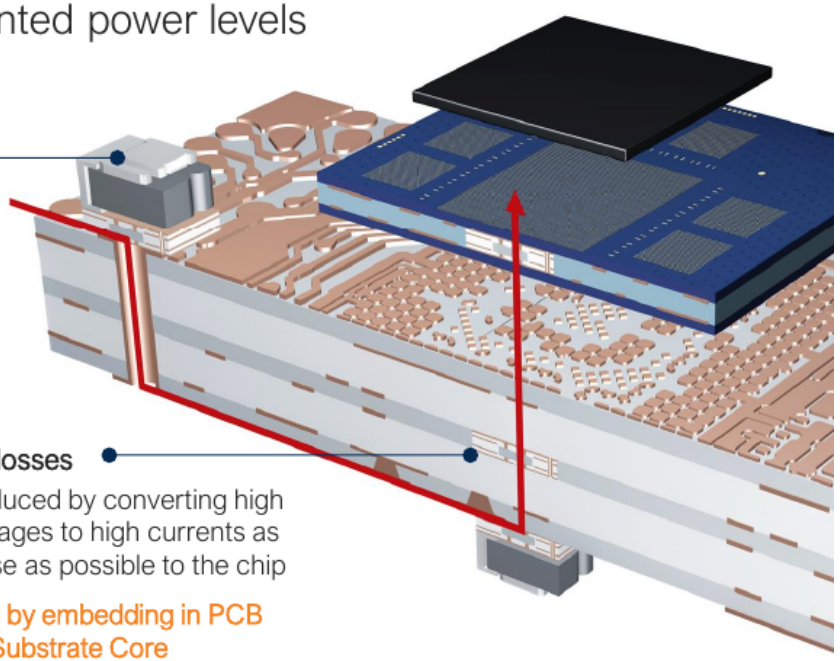
MI350



Conversion losses

→ Reduced by moving components closer

Enabled by embedding as a packaging technology for PMICs



Ohmic losses

→ Reduced by converting high voltages to high currents as close as possible to the chip

Enabled by embedding in PCB and IC Substrate Core

25 AT&S Investor presentation – Q1 2026/27

Investor_presentation.pdf | Power embedding offers another qualified interconnect product. The illustrated AMD platform is evidence of application relevance, not a disclosed product-specific revenue or margin award.

ABF pricing magnitude and bounded transmission

TrendForce's October 12 public table forecasts **ABF prices rising 10-15% quarter over quarter from Q3 2026 through Q4 2027**, with 48-56-week lead times against a balanced-market 12-week benchmark. This repeats the October 5 forecast from the same source family. The full original's Quick Take column carries the price forecast; the delivered X crop omitted it. Lead times compare with a balanced benchmark, not the previous week. TrendForce Weekly Radar 005

Item	Status	Current Lead Time	Balanced Lead Time	Quick Take
CPU	Tight	25–30W	16–20W	Despite the continued expansion of server CPU supply across both mainstream and new platforms, customer orders remain difficult to fulfill.
GPU	Balanced	30-40W	30-40W	NVIDIA and AMD are expected to be shipping mainly Blackwell and MI350, respectively, while their next-generation Rubin and MI450 AI server systems still need time for tuning.
DRAM	Very Tight	20W	8W	PC OEMs' limited ability to absorb the 4Q26 contract price increases is prompting DRAM suppliers to reallocate bit supply from PC DRAM toward server DRAM, primarily to meet demand from US CSPs.
NAND (eSSD)	Tight	16W	8W	As with HDDs, CSPs are looking to secure eSSD supply through 2027. Lead times for eSSDs remain elevated.
HDD	Very Tight	50W	16W	CSPs remain eager to lock in supply with HDD vendors. Lead times show no signs of shortening through 2027.
ABF	Very Tight	48–56W	12W	Capacity additions for ABF substrates are lagging well behind fast-growing demand, which leaves little room for the shortage to ease in the near term. We expect sequential price increases of 10–15% per quarter from 3Q26 through 4Q27.
MLCC	Tight	35W	12W	Smartphone and notebook ODMs are slowing their MLCC inventory build. Consumer-grade MLCC demand is diverging: weak for low-capacitance products, strong for high-capacitance ones.

Status key

Very Tight = severe shortage **Tight** = constrained supply **Tightening** = conditions worsening

Balanced = supply-demand balance **Easing** = conditions improving

Source: TrendForce, Oct 12, 2026

TrendForce

ABF-TF. Original full TrendForce October 12 table, including the Quick Take column. Industry ABF10-15% sequential price forecast; not an AT&S contract price or measured company ASP.

The reference already contains June pricing, rich mix and the guided customer agreements. The selected case replaces the existing price branch rather than adding the industry forecast to it. The five remaining 10% steps after the calibrated Q3 2026 level give cumulative industry premiums of 10%, 21%, 33.1%, 46.41% and 61.051%; Q3 is not repriced again. **Original company eligibility starts Q2 2027**, so no extra pricing is added to Q4 2026 or Q1 2027.

Within the unchanged 20% new/repriceable reference ME pool, the conditional premium is **old 4% + 50% x max(0, industry premium -old 4%)**. Thus Q2/Q3/Q4 2027 premiums are 18.55% / 25.205% / 32.5255%. The 50% residual reserve reflects overlap and incomplete transmission above the older 4%; it is not a measured fraction of contracts. The source industry scope does not establish every AT&S product's like-for-like price. Probability 35% is applied once to conditional revenue, GP and opex. The 75% Kulim output case remains separately unchanged and is not included in this pricing pool.

The source ends Q4 2027. The added premium above4% then fades by 87.5%, 75%, 62.5% and 50% in the four 2028 quarters as an explicit persistence/competitive-response assumption. Existing 2029 2% and 2030 zero premiums remain. No new source pricing extension enters 2029. Existing product volumes, reference gross margins, manufacturing expense, qualification risk, capex and share schedule are unchanged.

SemiAnalysis's October 12 five-post text thread provides counter-evidence on ASP units: Japan's series measures value per square metre, Taiwan's value per piece. Larger substrate bodies can lift price per piece at unchanged price per area; layers, materials and mix also matter. A tripled per-piece series is not a threefold like-for-like price increase. Its 100x100mm-plus and 20-50x area comparison is attributed, not an AT&S product measurement. The five original texts were read; mapped charts await separate inspection. Original thread

The retained case is a bounded repricing forecast, not observed companywide ASP. Larger area, more steps and lower yields constrain saleable good-unit output. No additional area, unit-volume or separate demand shock is added; the company's original 4x-area/8x-capacity example remains one combined constraint.

Quarter	Prior premium	Industry level	Selected premium	Conditional sales EURm	Weighted OP EURm	OP revision
Q3 2026	0.000%	No new source case	0.000%	0.000000	0.000000	0.000000
Q4 2026	0.000%	No new source case	0.000%	0.000000	0.000000	0.000000
Q1 2027	0.000%	No new source case	0.000%	0.000000	0.000000	0.000000
Q2 2027	4.000%	33.100%	18.550%	19.292000	4.186364	3.283644
Q3 2027	4.000%	46.410%	25.205%	28.481650	6.180518	5.199678
Q4 2027	4.000%	61.051%	32.526%	39.681110	8.610801	7.551841
Q1 2028	4.000%	53.920%	28.960%	36.778962	7.981035	6.878675
Q2 2028	4.000%	46.788%	25.394%	34.282069	7.439209	6.267409
Q3 2028	4.000%	39.657%	21.828%	30.996381	6.726215	5.493655
Q4 2028	4.000%	32.526%	18.263%	26.846243	5.825635	4.549675
Q1 2029	2.000%	No new source case	2.000%	2.940000	0.637980	0.000000
Q2 2029	2.000%	No new source case	2.000%	3.040000	0.659680	0.000000

Quarter	Prior premium	Industry level	Selected premium	Conditional sales EURm	Weighted OP EURm	OP revision
Q3 2029	2.000%	No new source case	2.000%	3.160000	0.685720	0.000000
Q4 2029	2.000%	No new source case	2.000%	3.260000	0.707420	0.000000
Q1 2030	0.000%	No new source case	0.000%	0.000000	0.000000	0.000000
Q2 2030	0.000%	No new source case	0.000%	0.000000	0.000000	0.000000
Q3 2030	0.000%	No new source case	0.000%	0.000000	0.000000	0.000000
Q4 2030	0.000%	No new source case	0.000%	0.000000	0.000000	0.000000

Funding, hybrids and the economic share count

At June 30 the company held €1.184 billion cash and €35.376 million financial assets against €2.173 billion financial liabilities, for €953.955 million reported net debt. The liability figure already includes approximately €314.2 million of leases. Those leases must not be deducted a second time. The quarter’s €39.911 million operating cash flow and €34.780 million net capex precede much larger planned construction spending. Working-capital growth is already visible in inventories and receivables.

Customer advances help finance expansion, but are not free revenue. Contract liabilities totalled €907.239 million and include future performance or settlement obligations with a financing component. The exact forward cash schedule is undisclosed. The model treats construction cash shortfalls as additional borrowing. It credits 65% probability to bounded additional customer support, based on management’s current cash-flow guidance and long-term commitments. These receipts reduce financial claims only; they do not add revenue or operating profit.

The cash-budget check makes that assumption explicit. For the remaining nine months of FY2026/27, model EBITDA remains about €770 million. After €1.065 billion of remaining net capex, €200 million working-capital absorption, €45 million cash tax and €65 million interest/hybrid cash costs, approximately €605 million of additional customer cash is needed to keep net debt flat. This is the amount the model requires, not a disclosed payment promise. For FY2027/28, the model assumes €850 million capex, €150 million working capital, €160 million tax, €85 million financing cash costs and €100 million customer-advance settlement. Under the previous saved pricing case, that fiscal year required about €48 million on an annual basis. The updated EBITDA/tax bridge now changes the same budget as reconciled below. Quarterly phasing creates a somewhat larger peak funding requirement because later surpluses are not used to erase earlier financing reserves. Later cash surpluses receive no valuation credit and act as a reserve for further investment, settlements and forecast error. A €300 million customer-payment delay would lower the ceiling by approximately €7.42 per share before any lost shipment profit.

The old €350 million hybrid is deducted as an economic claim ahead of common shareholders. The June 2026 €400 million convertible hybrid has an initial €254 conversion price, implying 1.574803 million potential new shares. The model uses 40.424803 million fully converted shares versus 38.85 million current common shares. The new hybrid principal is not also deducted as debt. At every modelled ceiling, conversion gives the lower common-share value compared with retaining its €400 million cash claim and the undiluted share count. If forecasts deteriorate materially, the two treatments should be compared again.

Q1_2026_27_call.pdf | Quarterly operating cash flow of about EUR40m and net capex of EUR35m precede the much larger expansion spending. IFRS net debt excludes equity-classified hybrids, which still carry economic claims.

Positive cash conversion and strong balance sheet KPIs

€ MM	Q1 25/26	**Q1 26/27**	YoY Change in %	
CF from operating activities	184	**40**	-78%	▪ Prior year impacted by higher factoring ▪ Increase in receivables due to higher revenue ▪ Higher inventories to maintain supply chain resilience
CF from financing activities	103	**403**	>200%	
Net CAPEX	-54	**-35**	-35%	
Operating free CF[1]	130	**5**	-96%	
Total assets	4,651	**5,247**	13%	▪ Including higher cash & cash equivalents and 2022 hybrid bond
Equity	1,051	**1,520**	45%	▪ Includes 2026 convertible & 2022 hybrid bond
Equity ratio	22.6%	**29.0%**	+6.4pp	▪ Excl. 2022 hybrid bond 23.9%
Net debt	1,332	**954**	-28%	▪ Excl. 2022 hybrid bond € 1,304 MM

1 Cash flow from operating activities minus Net CAPEX

Q1_2026_27_call.pdf | Quarterly operating cash flow of about EUR40m and net capex of EUR35m precede the much larger expansion spending. IFRS net debt excludes equity-classified hybrids, which still carry economic claims.

Rebuilt cash budget and tax calibration

The existing spending and settlement budgets are retained. Updated expected EBIT plus the same D&A produces EBITDA. Cash outflows retain net capex, working capital, baseline cash tax, financing cash and advance settlement. Quarterly spending is equally phased within each fiscal budget, an analytical proxy; issuer payment dates and amounts remain undisclosed. Every quarterly deficit is accumulated, while later surpluses are ring-fenced. Financial claims reserve the cumulative gap through the end of each target's forward-four-quarter earnings window. Active customer support offsets 65% of that same computed gap, without adding revenue or OP.

Low-confidence incremental cash-tax timing proxy: each fiscal period's existing base cash-tax budget divided by its previous selected expected OP calibrates a ratio. That ratio taxes only positive incremental EBIT. Baseline cash-tax budgets stay intact; these are not statutory rates or issuer tax guidance. All denominators are positive and ratios within 0-100%, so no blind clipping is used. ±5pp diagnostics bound the calibration. A lower EBIT case does not receive an invented marginal tax saving.

Fiscal period	Prior cash-tax budget	Prior selected OP	Derived cash ratio
Remaining FY2026/27	45.000000	470.013570	9.574192%
FY2027/28	160.000000	824.279880	19.410883%
FY2028/29	200.000000	1,054.564550	18.965174%
FY2029/30	230.000000	1,124.546570	20.452688%
Remaining CY2030	180.000000	869.415000	20.703577%

Quarter	EBITDA	Base cash outflow	Added cash tax	New funding gap	Cumulative gap
Q3 2026	230.905625	458.406667	0.000000	227.501042	227.501042
Q4 2026	273.098750	458.406667	0.000000	185.307917	412.808958
Q1 2027	266.009195	458.406667	0.000000	192.397472	605.206430
Q2 2027	286.866364	336.250000	0.637384	50.021020	655.227451
Q3 2027	324.440518	336.250000	1.009303	12.818785	668.046236
Q4 2027	349.950801	336.250000	1.465879	0.000000	668.046236
Q1 2028	358.936035	336.250000	1.335211	0.000000	668.046236
Q2 2028	384.648584	305.000000	1.188625	0.000000	668.046236
Q3 2028	414.483715	305.000000	1.041881	0.000000	668.046236
Q4 2028	426.754385	305.000000	0.862854	0.000000	668.046236

Quarter	EBITDA	Base cash outflow	Added cash tax	New funding gap	Cumulative gap
Q1 2029	408.988605	305.000000	0.000000	0.000000	668.046236
Q2 2029	423.364680	301.250000	0.000000	0.000000	668.046236
Q3 2029	443.796970	301.250000	0.000000	0.000000	668.046236
Q4 2029	447.473045	301.250000	0.000000	0.000000	668.046236
Q1 2030	424.911875	301.250000	0.000000	0.000000	668.046236
Q2 2030	436.796250	305.000000	0.000000	0.000000	668.046236
Q3 2030	451.555625	305.000000	0.000000	0.000000	668.046236
Q4 2030	455.063125	305.000000	0.000000	0.000000	668.046236

For the active Q4 2027-Q3 2028 window, retained pricing adds EUR26.191579247m OP. Higher expected EBITDA reduces the cumulative construction reserve from EUR674.882870250m to EUR668.046235886m after incremental cash tax. After the unchanged 65% customer support, active claims decline from EUR1,540.164004587m to EUR1,537.771182560m. The reserve is not customer receivable proof; it remains a model cash timing assumption.

Valuation, score and the tests that matter

The new-company valuation method is 20 times forward-four-quarter IFRS operating profit, including the valuation quarter, less opening net debt, the old hybrid and the unfunded construction reserve, divided by the fully converted share count. Reference claims include 100% of the cash funding gap; the active model reduces that gap only by the 65% weighted customer support. Required funding through the forward earnings window is reserved, so future earnings do not receive an unfinished factory without its financing cost. This enterprise-to-common-equity bridge is appropriate for a capital-intensive manufacturer with significant financing claims. It does not value EBITDA as though depreciation were free, and it does not import a bank price target. The Q4 2027 ceiling is €451.767481 per share, compared with €415.957468 for the reference before incremental probability branches. The prior saved active ceiling was €438.750117, so this is a +2.966920% economic revision at the same horizon, currency and share basis.

The analytical Base is 72: core 17/20, cycle 8/10, TAM 8/10, catalysts 4/5, macro 7/10 and alpha 3/5, less four risk points. That is 43/60, rounded to the nearest whole percentage. Customer-funded construction strengthens the business case, while concentration, materials and ramp execution, financing complexity and geopolitical exposure prevent a near-perfect score.

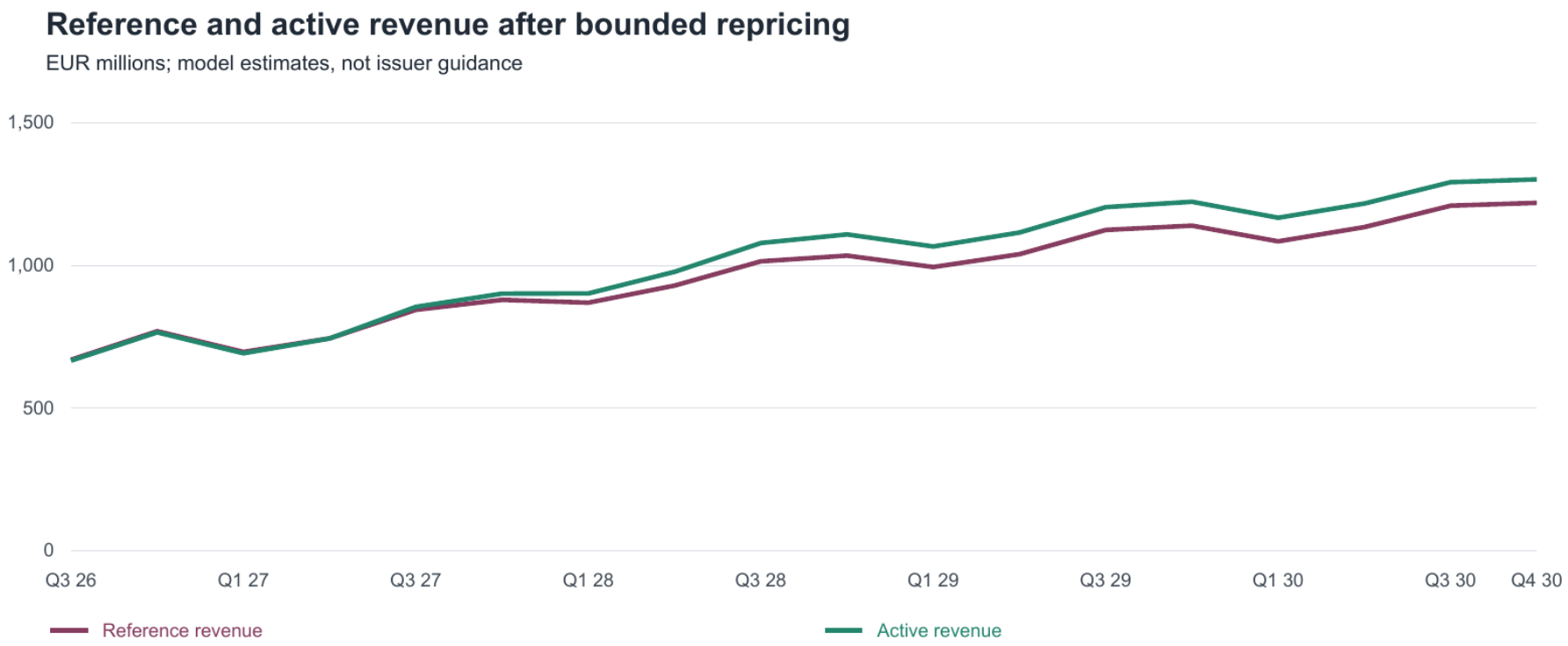
The most useful next evidence is cash conversion and accounting detail alongside the next results, followed by 2027 Chongqing acceptance and Kulim qualification milestones. A 10% reference sales shortfall is tested at unchanged product gross margins and fixed overhead; a one-point group gross-margin change and an additional €100 million of debt are separate diagnostics. None is a second probability branch. The model should be revised when good-unit output, contract settlement timing or retained pricing contradicts the assumed path-not merely because headline AI spending rises.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	Qualified advanced substrates, customer-funded expansion and technology depth, offset by concentrated customers and capital intensity.
Cycle	8	Firm current acceleration and guidance uplift, but 2028-2030 capacity and terms can normalize.
TAM	8	Larger and more complex accelerator packages expand processed content; no broad AI expenditure is counted directly.
Catalysts	4	Current-year pricing, Chongqing ramp, Kulim customer qualification and Marvell agreement.
Macro	7	European headquarters and Malaysian capacity diversify manufacturing; China remains a major operating exposure and FX matters.
Alpha	3	Capacity accounting and hybrid treatment create analytical distinctions, but the scarcity thesis is already widely recognised.
Risk classes	-4	Minus 1 each for customer concentration, capital/funding and hybrid complexity, ramp/material dependence, and geopolitical/FX exposure.
Total	43/60	Rounded Base 72. Both artifact and new workbook row use this score; this is not a manual override.

Revenue and business mix

Reference business vectors are unchanged; active revenue replaces only the old price branch with the revised scoped branch.



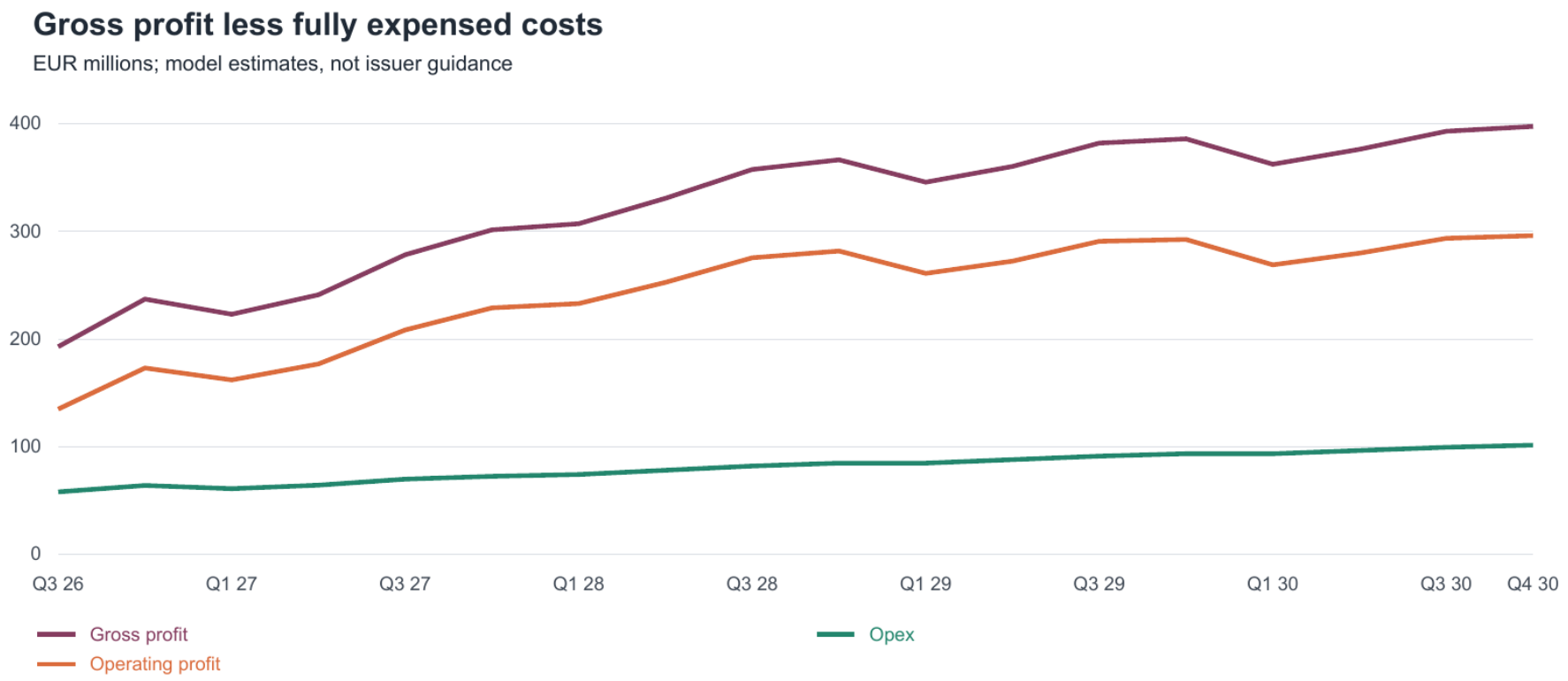
Current model revenue. Same reference volumes/mix; only scoped pricing replaces the prior branch. No new Kulim volume.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	670.000	-3.112	666.888
Q4 2026	770.000	-3.975	766.025
Q1 2027	697.467	-4.875	692.592
Q2 2027	745.000	-0.348	744.652
Q3 2027	845.000	10.394	855.394
Q4 2027	880.000	21.838	901.838
Q1 2028	870.000	32.398	902.398

Quarter	Reference revenue	Weighted net change	Active revenue
Q2 2028	930.000	48.311	978.311
Q3 2028	1,015.000	64.199	1,079.199
Q4 2028	1,035.000	74.446	1,109.446
Q1 2029	995.000	72.016	1,067.016
Q2 2029	1,040.000	75.964	1,115.964
Q3 2029	1,125.000	79.881	1,204.881
Q4 2029	1,140.000	83.829	1,223.829
Q1 2030	1,085.000	82.763	1,167.763
Q2 2030	1,135.000	82.575	1,217.575
Q3 2030	1,210.000	82.388	1,292.388
Q4 2030	1,220.000	82.237	1,302.237

Gross profit, operating expenses and earnings

Operating profit equals GP less fully expensed operating costs. New price dollars carry 35% production/process cost and 3% added opex; existing cost and D&A remain.



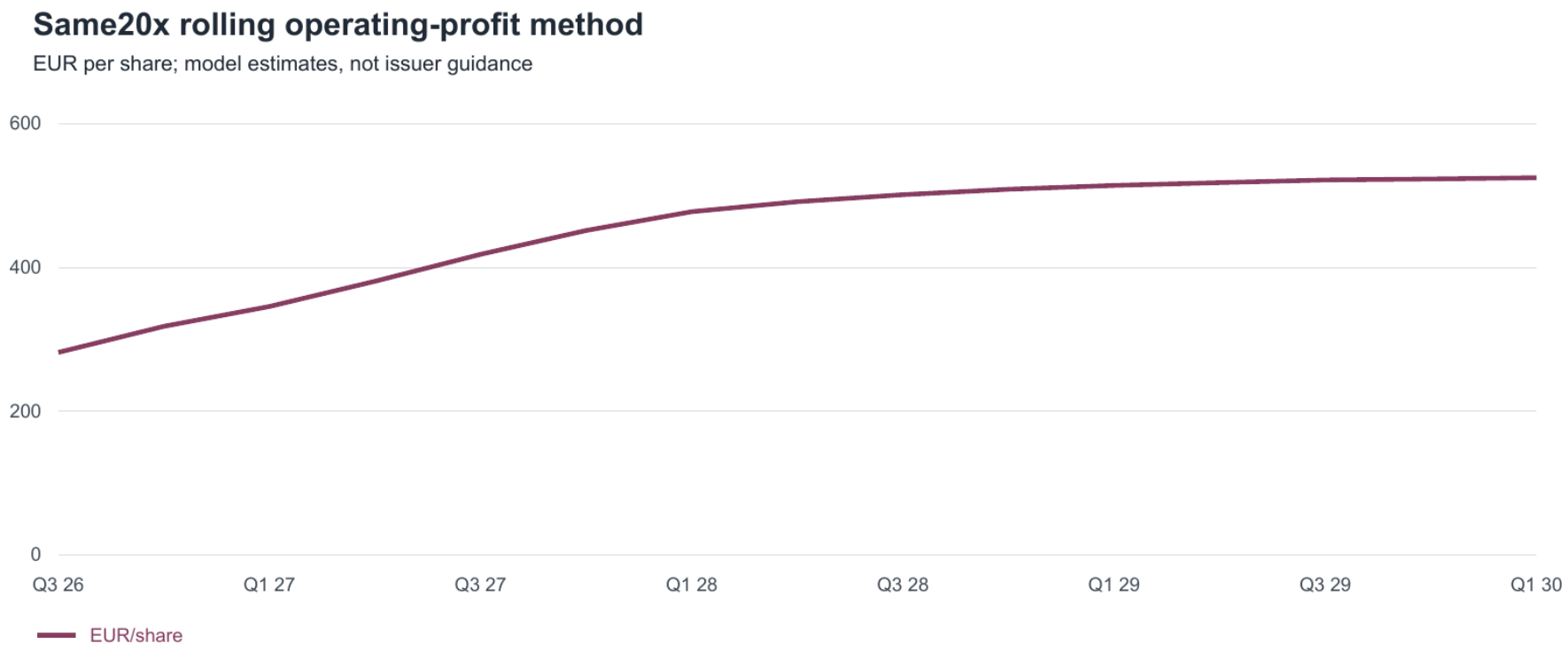
Current GP, opex and IFRS OP model after scoped repricing. Future quarters are analytical forecasts.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	666.888	192.906	58.000	134.906	20.229%
Q4 2026	766.025	237.099	64.000	173.099	22.597%
Q1 2027	692.592	223.009	61.000	162.009	23.392%
Q2 2027	744.652	241.125	64.259	176.866	23.752%
Q3 2027	855.394	278.302	69.861	208.441	24.368%
Q4 2027	901.838	301.435	72.485	228.951	25.387%
Q1 2028	902.398	307.121	74.185	232.936	25.813%

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q2 2028	978.311	330.764	78.115	252.649	25.825%
Q3 2028	1,079.199	357.520	82.036	275.484	25.527%
Q4 2028	1,109.446	366.478	84.724	281.754	25.396%
Q1 2029	1,067.016	345.714	84.726	260.989	24.460%
Q2 2029	1,115.964	360.345	87.980	272.365	24.406%
Q3 2029	1,204.881	382.031	91.234	290.797	24.135%
Q4 2029	1,223.829	385.961	93.488	292.473	23.898%
Q1 2030	1,167.763	362.366	93.454	268.912	23.028%
Q2 2030	1,217.575	376.250	96.454	279.796	22.980%
Q3 2030	1,292.388	393.010	99.454	293.556	22.714%
Q4 2030	1,302.237	397.517	101.454	296.063	22.735%

The complete ceiling path

Quarter Q prices Q and the next three calendar quarters. All 15 ceilings retain 20x IFRS OP, fully converted shares and the same rebuilt construction-claim policy.



Current 15 rolling targets. Each deducts opening debt, old hybrid and residual construction funding once; shares already include the new convertible.

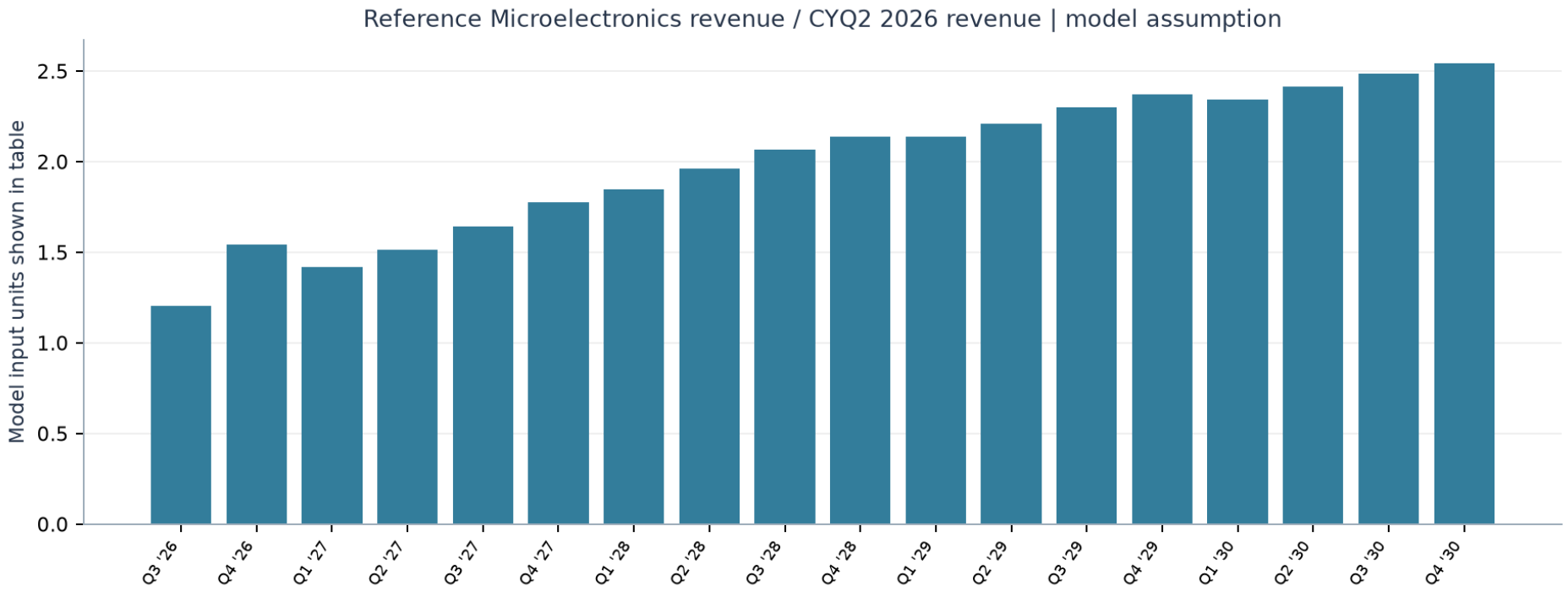
Quarter	Earnings window	F4Q OP	Claims	Shares M	Ceiling EUR
Q3 2026	Q3 2026 through Q2 2027	646.879934	1,533.284608	40.424803	282.111802
Q4 2026	Q4 2026 through Q3 2027	720.414827	1,537.771183	40.424803	318.381893
Q1 2027	Q1 2027 through Q4 2027	776.266878	1,537.771183	40.424803	346.014458
Q2 2027	Q2 2027 through Q1 2028	847.193718	1,537.771183	40.424803	381.105212
Q3 2027	Q3 2027 through Q2 2028	922.975938	1,537.771183	40.424803	418.598144
Q4 2027	Q4 2027 through Q3 2028	990.019134	1,537.771183	40.424803	451.767481
Q1 2028	Q1 2028 through Q4 2028	1,042.822718	1,537.771183	40.424803	477.891831

Quarter	Earnings window	F4Q OP	Claims	Shares M	Ceiling EUR
Q2 2028	Q2 2028 through Q1 2029	1,070.875288	1,537.771183	40.424803	491.770721
Q3 2028	Q3 2028 through Q2 2029	1,090.591384	1,537.771183	40.424803	501.525176
Q4 2028	Q4 2028 through Q3 2029	1,105.904640	1,537.771183	40.424803	509.101344
Q1 2029	Q1 2029 through Q4 2029	1,116.623300	1,537.771183	40.424803	514.404356
Q2 2029	Q2 2029 through Q1 2030	1,124.546570	1,537.771183	40.424803	518.324360
Q3 2029	Q3 2029 through Q2 2030	1,131.978140	1,537.771183	40.424803	522.001098
Q4 2029	Q4 2029 through Q3 2030	1,134.736795	1,537.771183	40.424803	523.365931
Q1 2030	Q1 2030 through Q4 2030	1,138.326875	1,537.771183	40.424803	525.142107

- **Q3 2026:** (20 x (134.905625 + 173.098750 + 162.009195 + 176.866364) - 1,533.284608) / 40.424803150 = **282.111802 EUR/share**.
- **Q4 2026:** (20 x (173.098750 + 162.009195 + 176.866364 + 208.440518) - 1,537.771183) / 40.424803150 = **318.381893 EUR/share**.
- **Q1 2027:** (20 x (162.009195 + 176.866364 + 208.440518 + 228.950801) - 1,537.771183) / 40.424803150 = **346.014458 EUR/share**.
- **Q2 2027:** (20 x (176.866364 + 208.440518 + 228.950801 + 232.936035) - 1,537.771183) / 40.424803150 = **381.105212 EUR/share**.
- **Q3 2027:** (20 x (208.440518 + 228.950801 + 232.936035 + 252.648584) - 1,537.771183) / 40.424803150 = **418.598144 EUR/share**.
- **Q4 2027:** (20 x (228.950801 + 232.936035 + 252.648584 + 275.483715) - 1,537.771183) / 40.424803150 = **451.767481 EUR/share**.
- **Q1 2028:** (20 x (232.936035 + 252.648584 + 275.483715 + 281.754385) - 1,537.771183) / 40.424803150 = **477.891831 EUR/share**.
- **Q2 2028:** (20 x (252.648584 + 275.483715 + 281.754385 + 260.988605) - 1,537.771183) / 40.424803150 = **491.770721 EUR/share**.
- **Q3 2028:** (20 x (275.483715 + 281.754385 + 260.988605 + 272.364680) - 1,537.771183) / 40.424803150 = **501.525176 EUR/share**.
- **Q4 2028:** (20 x (281.754385 + 260.988605 + 272.364680 + 290.796970) - 1,537.771183) / 40.424803150 = **509.101344 EUR/share**.
- **Q1 2029:** (20 x (260.988605 + 272.364680 + 290.796970 + 292.473045) - 1,537.771183) / 40.424803150 = **514.404356 EUR/share**.
- **Q2 2029:** (20 x (272.364680 + 290.796970 + 292.473045 + 268.911875) - 1,537.771183) / 40.424803150 = **518.324360 EUR/share**.
- **Q3 2029:** (20 x (290.796970 + 292.473045 + 268.911875 + 279.796250) - 1,537.771183) / 40.424803150 = **522.001098 EUR/share**.
- **Q4 2029:** (20 x (292.473045 + 268.911875 + 279.796250 + 293.555625) - 1,537.771183) / 40.424803150 = **523.365931 EUR/share**.
- **Q1 2030:** (20 x (268.911875 + 279.796250 + 293.555625 + 296.063125) - 1,537.771183) / 40.424803150 = **525.142107 EUR/share**.

The operating constraint behind the forecast

The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Reference Microelectronics revenue / CYQ2 2026 revenue	Status
Q3 2026	1.208	Fiscal guidance anchored
Q4 2026	1.542	Fiscal guidance anchored
Q1 2027	1.418	Fiscal guidance anchored
Q2 2027	1.513	Company-specific model assumption
Q3 2027	1.644	Company-specific model assumption
Q4 2027	1.775	Company-specific model assumption
Q1 2028	1.848	Company-specific model assumption
Q2 2028	1.964	Company-specific model assumption

Quarter	Reference Microelectronics revenue / CYQ2 2026 revenue	Status
Q3 2028	2.066	Company-specific model assumption
Q4 2028	2.139	Company-specific model assumption
Q1 2029	2.139	Company-specific model assumption
Q2 2029	2.211	Company-specific model assumption
Q3 2029	2.299	Company-specific model assumption
Q4 2029	2.372	Company-specific model assumption
Q1 2030	2.342	Company-specific model assumption
Q2 2030	2.415	Company-specific model assumption
Q3 2030	2.488	Company-specific model assumption
Q4 2030	2.546	Company-specific model assumption

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Microelectronics	415.0	36.5%	151.5
Q3 2026	Electronics Solutions	255.0	17.0%	43.4
Q4 2026	Microelectronics	530.0	37.5%	198.8
Q4 2026	Electronics Solutions	240.0	17.0%	40.8
Q1 2027	Microelectronics	487.5	39.0%	190.1
Q1 2027	Electronics Solutions	210.0	17.0%	35.7
Q2 2027	Microelectronics	520.0	38.5%	200.2
Q2 2027	Electronics Solutions	225.0	18.0%	40.5
Q3 2027	Microelectronics	565.0	39.0%	220.3
Q3 2027	Electronics Solutions	280.0	19.0%	53.2

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2027	Microelectronics	610.0	39.0%	237.9
Q4 2027	Electronics Solutions	270.0	20.0%	54.0
Q1 2028	Microelectronics	635.0	39.0%	247.7
Q1 2028	Electronics Solutions	235.0	20.0%	47.0
Q2 2028	Microelectronics	675.0	38.5%	259.9
Q2 2028	Electronics Solutions	255.0	21.0%	53.5
Q3 2028	Microelectronics	710.0	38.0%	269.8
Q3 2028	Electronics Solutions	305.0	21.5%	65.6
Q4 2028	Microelectronics	735.0	37.5%	275.6
Q4 2028	Electronics Solutions	300.0	22.0%	66.0
Q1 2029	Microelectronics	735.0	36.5%	268.3
Q1 2029	Electronics Solutions	260.0	21.5%	55.9
Q2 2029	Microelectronics	760.0	36.5%	277.4
Q2 2029	Electronics Solutions	280.0	21.5%	60.2
Q3 2029	Microelectronics	790.0	36.0%	284.4
Q3 2029	Electronics Solutions	335.0	22.0%	73.7
Q4 2029	Microelectronics	815.0	35.5%	289.3
Q4 2029	Electronics Solutions	325.0	22.0%	71.5
Q1 2030	Microelectronics	805.0	34.5%	277.7
Q1 2030	Electronics Solutions	280.0	21.5%	60.2
Q2 2030	Microelectronics	830.0	34.5%	286.3
Q2 2030	Electronics Solutions	305.0	21.5%	65.6
Q3 2030	Microelectronics	855.0	34.0%	290.7
Q3 2030	Electronics Solutions	355.0	22.0%	78.1
Q4 2030	Microelectronics	875.0	34.0%	297.5

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2030	Electronics Solutions	345.0	22.0%	75.9

Operating-cost derivation

Quarter	Selling, administration and net other operating cost
Q3 2026	58.0
Q4 2026	64.0
Q1 2027	61.0
Q2 2027	64.0
Q3 2027	69.0
Q4 2027	71.0
Q1 2028	72.0
Q2 2028	75.0
Q3 2028	78.0
Q4 2028	80.0
Q1 2029	80.0
Q2 2029	83.0
Q3 2029	86.0
Q4 2029	88.0
Q1 2030	88.0
Q2 2030	91.0
Q3 2030	94.0
Q4 2030	96.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative branch contributions are retained. Customer funding adds no OP. Existing branch probabilities are unchanged.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	ATS-KULIM	75%	0.000000	0.000000	0.000000	0.000000
Q3 2026	ATS-REPRICE	35%	0.000000	0.000000	0.000000	0.000000
Q3 2026	ATS-POWER-OPTICS	35%	0.000000	0.000000	0.000000	0.000000
Q3 2026	ATS-RAMP-RISK	25%	-12.450000	-7.677500	0.000000	-1.919375
Q3 2026	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q4 2026	ATS-KULIM	75%	0.000000	0.000000	0.000000	0.000000
Q4 2026	ATS-REPRICE	35%	0.000000	0.000000	0.000000	0.000000
Q4 2026	ATS-POWER-OPTICS	35%	0.000000	0.000000	0.000000	0.000000
Q4 2026	ATS-RAMP-RISK	25%	-15.900000	-9.805000	0.000000	-2.451250
Q4 2026	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q1 2027	ATS-KULIM	75%	0.000000	0.000000	0.000000	0.000000
Q1 2027	ATS-REPRICE	35%	0.000000	0.000000	0.000000	0.000000
Q1 2027	ATS-POWER-OPTICS	35%	0.000000	0.000000	0.000000	0.000000
Q1 2027	ATS-RAMP-RISK	25%	-19.498680	-11.211741	0.000000	-2.802935
Q1 2027	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q2 2027	ATS-KULIM	75%	0.000000	0.000000	0.000000	0.000000
Q2 2027	ATS-REPRICE	35%	19.292000	12.539800	0.578760	4.186364
Q2 2027	ATS-POWER-OPTICS	35%	2.000000	0.560000	0.160000	0.140000

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2027	ATS-RAMP-RISK	25%	-31.200000	-16.640000	0.000000	-4.160000
Q2 2027	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q3 2027	ATS-KULIM	75%	10.000000	3.200000	0.600000	1.950000
Q3 2027	ATS-REPRICE	35%	28.481650	18.513073	0.854450	6.180518
Q3 2027	ATS-POWER-OPTICS	35%	4.000000	1.120000	0.320000	0.280000
Q3 2027	ATS-RAMP-RISK	25%	-33.900000	-18.080000	0.000000	-4.520000
Q3 2027	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q4 2027	ATS-KULIM	75%	20.000000	6.400000	1.200000	3.900000
Q4 2027	ATS-REPRICE	35%	39.681110	25.792722	1.190433	8.610801
Q4 2027	ATS-POWER-OPTICS	35%	6.000000	1.680000	0.480000	0.420000
Q4 2027	ATS-RAMP-RISK	25%	-36.600000	-19.520000	0.000000	-4.880000
Q4 2027	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q1 2028	ATS-KULIM	75%	35.000000	11.200000	2.100000	6.825000
Q1 2028	ATS-REPRICE	35%	36.778962	23.906325	1.103369	7.981035
Q1 2028	ATS-POWER-OPTICS	35%	8.000000	2.240000	0.640000	0.560000
Q1 2028	ATS-RAMP-RISK	25%	-38.100000	-20.320000	0.000000	-5.080000
Q1 2028	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q2 2028	ATS-KULIM	75%	55.000000	17.600000	3.300000	10.725000
Q2 2028	ATS-REPRICE	35%	34.282069	22.283345	1.028462	7.439209
Q2 2028	ATS-POWER-OPTICS	35%	10.000000	2.800000	0.800000	0.700000

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2028	ATS-RAMP-RISK	25%	-33.750000	-18.562500	0.000000	-4.640625
Q2 2028	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q3 2028	ATS-KULIM	75%	75.000000	24.000000	4.500000	14.625000
Q3 2028	ATS-REPRICE	35%	30.996381	20.147648	0.929891	6.726215
Q3 2028	ATS-POWER-OPTICS	35%	12.000000	3.360000	0.960000	0.840000
Q3 2028	ATS-RAMP-RISK	25%	-28.400000	-16.330000	0.000000	-4.082500
Q3 2028	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q4 2028	ATS-KULIM	75%	90.000000	28.800000	5.400000	17.550000
Q4 2028	ATS-REPRICE	35%	26.846243	17.450058	0.805387	5.825635
Q4 2028	ATS-POWER-OPTICS	35%	14.000000	3.920000	1.120000	0.980000
Q4 2028	ATS-RAMP-RISK	25%	-29.400000	-16.905000	0.000000	-4.226250
Q4 2028	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q1 2029	ATS-KULIM	75%	95.000000	30.400000	5.700000	18.525000
Q1 2029	ATS-REPRICE	35%	2.940000	1.911000	0.088200	0.637980
Q1 2029	ATS-POWER-OPTICS	35%	15.000000	4.200000	1.200000	1.050000
Q1 2029	ATS-RAMP-RISK	25%	-22.050000	-13.597500	0.000000	-3.399375
Q1 2029	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q2 2029	ATS-KULIM	75%	100.000000	32.000000	6.000000	19.500000
Q2 2029	ATS-REPRICE	35%	3.040000	1.976000	0.091200	0.659680
Q2 2029	ATS-POWER-OPTICS	35%	16.000000	4.480000	1.280000	1.120000

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2029	ATS-RAMP-RISK	25%	-22.800000	-14.060000	0.000000	-3.515000
Q2 2029	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q3 2029	ATS-KULIM	75%	105.000000	33.600000	6.300000	20.475000
Q3 2029	ATS-REPRICE	35%	3.160000	2.054000	0.094800	0.685720
Q3 2029	ATS-POWER-OPTICS	35%	17.000000	4.760000	1.360000	1.190000
Q3 2029	ATS-RAMP-RISK	25%	-23.700000	-14.615000	0.000000	-3.653750
Q3 2029	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q4 2029	ATS-KULIM	75%	110.000000	35.200000	6.600000	21.450000
Q4 2029	ATS-REPRICE	35%	3.260000	2.119000	0.097800	0.707420
Q4 2029	ATS-POWER-OPTICS	35%	18.000000	5.040000	1.440000	1.260000
Q4 2029	ATS-RAMP-RISK	25%	-24.450000	-15.077500	0.000000	-3.769375
Q4 2029	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q1 2030	ATS-KULIM	75%	110.000000	35.200000	6.600000	21.450000
Q1 2030	ATS-REPRICE	35%	0.000000	0.000000	0.000000	0.000000
Q1 2030	ATS-POWER-OPTICS	35%	18.000000	5.040000	1.440000	1.260000
Q1 2030	ATS-RAMP-RISK	25%	-24.150000	-14.892500	0.000000	-3.723125
Q1 2030	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q2 2030	ATS-KULIM	75%	110.000000	35.200000	6.600000	21.450000
Q2 2030	ATS-REPRICE	35%	0.000000	0.000000	0.000000	0.000000
Q2 2030	ATS-POWER-OPTICS	35%	18.000000	5.040000	1.440000	1.260000

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2030	ATS-RAMP-RISK	25%	-24.900000	-15.355000	0.000000	-3.838750
Q2 2030	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q3 2030	ATS-KULIM	75%	110.000000	35.200000	6.600000	21.450000
Q3 2030	ATS-REPRICE	35%	0.000000	0.000000	0.000000	0.000000
Q3 2030	ATS-POWER-OPTICS	35%	18.000000	5.040000	1.440000	1.260000
Q3 2030	ATS-RAMP-RISK	25%	-25.650000	-15.817500	0.000000	-3.954375
Q3 2030	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000
Q4 2030	ATS-KULIM	75%	110.000000	35.200000	6.600000	21.450000
Q4 2030	ATS-REPRICE	35%	0.000000	0.000000	0.000000	0.000000
Q4 2030	ATS-POWER-OPTICS	35%	18.000000	5.040000	1.440000	1.260000
Q4 2030	ATS-RAMP-RISK	25%	-26.250000	-16.187500	0.000000	-4.046875
Q4 2030	ATS-CUSTOMER-FUNDING	65%	0.000000	0.000000	0.000000	0.000000

Enterprise-to-equity reconciliation

20x forward-four-quarter IFRS EBIT, including the valuation quarter, less EUR953.955m opening net debt, EUR350m old hybrid and the unfunded construction cash reserve. Expected customer funding offsets 65% of that reserve. Divide by 40.4248031496m fully converted shares; the EUR400m convertible is never also deducted.

Quarter	Reference claims	Weighted customer cash	Total claims	Ceiling EUR
Q3 2026	1,959.182451	-425.897843	1,533.284608	282.111802
Q4 2026	1,972.001236	-434.230053	1,537.771183	318.381893
Q1 2027	1,972.001236	-434.230053	1,537.771183	346.014458
Q2 2027	1,972.001236	-434.230053	1,537.771183	381.105212
Q3 2027	1,972.001236	-434.230053	1,537.771183	418.598144

Quarter	Reference claims	Weighted customer cash	Total claims	Ceiling EUR	
Q4 2027	1,972.001236	-434.230053	1,537.771183		451.767481
Q1 2028	1,972.001236	-434.230053	1,537.771183		477.891831
Q2 2028	1,972.001236	-434.230053	1,537.771183		491.770721
Q3 2028	1,972.001236	-434.230053	1,537.771183		501.525176
Q4 2028	1,972.001236	-434.230053	1,537.771183		509.101344
Q1 2029	1,972.001236	-434.230053	1,537.771183		514.404356
Q2 2029	1,972.001236	-434.230053	1,537.771183		518.324360
Q3 2029	1,972.001236	-434.230053	1,537.771183		522.001098
Q4 2029	1,972.001236	-434.230053	1,537.771183		523.365931
Q1 2030	1,972.001236	-434.230053	1,537.771183		525.142107
Q2 2030	1,972.001236	-434.230053	1,537.771183	Supporting tail	
Q3 2030	1,972.001236	-434.230053	1,537.771183	Supporting tail	
Q4 2030	1,972.001236	-434.230053	1,537.771183	Supporting tail	

Claim decisions, overlap and triggers

ATS-KULIM

p: 0.75

signal: Customer-backed Kulim expansion; Marvell named in signed September agreement.

classification: Verified agreement with modelled yield, loading and margin

Conditional outcome: Incremental revenue above the reference reaches EUR440m per year by 2029. Conditional gross margin is 32%, with additional operating costs of 6% of revenue, for 26% incremental EBIT.

timing: Small incremental revenue from CYQ3 2027; meaningful scale from CYQ2 2028; full branch in 2029.

overlap: Reference already includes the current fiscal guidance, the initial Kulim ramp, Chongqing and most of the announced expansion. This branch represents the remaining qualified output from the same program. The September Marvell announcement is not a second order.

capacity bound: EUR1.75bn midpoint expansion capex at the issuer illustrative 1:1 annual-revenue ratio supports EUR1.75bn incremental annual output at full qualification. Reference output plus this branch is checked against that order of magnitude; pricing and legacy growth explain the remaining revenue change.

cost: Production GP includes materials, labour, depreciation and ramp loss; 6% incremental operating expense is additional customer engineering and overhead.

ATS-REPRICE

P: 0.35

Signal: TrendForce forecasts industry ABF prices rising 10-15% QoQ from Q3 2026 through Q4 2027, on top of the previously modeled scarcity.

Classification: Industry forecast with bounded company transmission, not observed like-for-like AT&S ASP

Conditional outcome: Only 20% of reference Microelectronics new/repriceable sales. Prior 4% uplift is retained; 50% of the positive industry premium above 4% replaces the old magnitude. GP retention 65% less opex 3% gives 62% retained EBIT.

Timing: Starts CYQ2 2027, preserving original timing. Extra premium above 4% fades by 87.5%, 75%, 62.5% and 50% across 2028. Original 2% in 2029 and zero in 2030 remain.

Overlap: June reference pricing, richer mix and agreements remain embedded. A 50% residual overlap/transmission reserve applies after the old 4% premium. Fixed backlog, Electronics Solutions and conditional Kulim output are excluded.

Cost: Extra price dollars retain 65% GP after 35% added manufacturing, material, process and D&A cost, then pay 3% additional customer/support opex. Existing production cost and reference opex remain.

ATS-POWER-OPTICS

p: 0.35

signal: Management describes advanced PCB, embedded power, test infrastructure and optical connectivity growth programs.

classification: Management-supported adjacency with unreported commercial wallet

Conditional outcome: After 60% overlap with existing Electronics Solutions growth, residual revenue rises to EUR72m annually by 2029. It earns 28% gross margin less 8% incremental operating expense.

timing: Starts in CYQ2 2027, reaches residual run rate in 2029.

overlap: EUR180m gross opportunity proxy less 60% reference overlap leaves EUR72m. No laser, DSP, switch silicon or entire GPU-system revenue is assigned to AT&S.

cost: Qualification, engineering and support costs are explicitly charged. No separate TAM multiple or customer-count multiplier.

ATS-RAMP-RISK

p: 0.25

signal: T-glass shortage, customer acceptance, yield and construction timing can restrict saleable substrate output.

classification: Correlated operational downside

Conditional outcome: Conditional loss of 3-6% of reference ME sales, at 45% lost contribution margin, plus 0.5 percentage point of ME revenue in incremental scrap/idle cost.

timing: From CYQ3 2026; largest loss in 2027; tapers as qualified capacity matures.

overlap: Glass, yield and acceptance delays are one correlated constraint branch, not three independent shocks. It is additive to the conservative 32% margin on incremental ramp output, so it applies only to reference output.

cost: Lower shipments lose contribution; incremental scrap/idle cost is separate. Fixed selling and administrative expense does not fall.

ATS-CUSTOMER-FUNDING

P: 0.65

Signal: Current issuer guidance says positive fiscal operating free cash flow is supported by customer payments, and major expansion is backed by long-term commitments.

Classification: Company-specific bounded financing assumption, not verified payment amount

Conditional outcome: Customer cash covers the computed construction shortfall, capped at cumulative deficits through the end of the F4Q window. Active support credits 65%; pricing-induced EBITDA and tax changes rebuild that reserve. Advances add no revenue or OP.

Timing: Equal quarterly spending within each fiscal budget is a proxy. Include required funding through the forward earnings window to avoid valuing an unfinished factory without its remaining financing cost.

Overlap: Receipts are applied only to debt/claims. They add no revenue, GP or EBIT and do not duplicate agreement earnings already embedded in guidance. Existing June cash is already included in opening net debt.

Cost: Residual 35% of required funding remains debt. A further borrowing-rate effect would reduce net income but is outside the IFRS operating-profit numerator; debt is deducted in full from enterprise value.

Pricing and cash sensitivities

These are one-input diagnostics around the same operating and cash method, not additional independent outcomes. Old-pricing case 0 restores all 15 previous targets and old funding claims.

Control	Value	Q4 2027 target EUR	F4Q OP EURm	Funding reserve EURm
Residual overlap reserve	25.0%	458.276164	1,003.114924	664.627919
Residual overlap reserve	50.0%	451.767481	990.019134	668.046236
Residual overlap reserve	75.0%	445.258799	976.923345	671.464553
Industry QoQ price	10.0%	451.767481	990.019134	668.046236
Industry QoQ price	15.0%	460.911372	1,008.421653	663.504521
Cash-tax ratio offset	-5.0 pp	451.771154	990.019134	667.622070
Cash-tax ratio offset	+0.0 pp	451.767481	990.019134	668.046236
Cash-tax ratio offset	+5.0 pp	451.763809	990.019134	668.470402

Remaining bounded uncertainties

- No public product-level good-unit capacity, substrate ASP or yield series; the capex/output proxy is not a production guarantee.
- September Marvell agreement identifies the previously unnamed customer; commercial prices, quantities, cancellation rights and revenue recognition milestones are not disclosed.
- The exact portion of customer-agreement earnings classified as product revenue versus other operating income is not disclosed. Gross-margin allocations are assumptions, and the total income statement remains controlling.
- Current guidance is constant currency. Forecast euros assume stable exchange rates, while actual FX can create a material divergence.
- Underlying construction and customer advance payments require a cash-flow schedule before any debt reduction is recognised.
- Long-run reference already assumes successful expansion and strong customer loading; the 75% branch applies only to the remaining incremental capacity, not to the whole growth thesis.
- T-glass supply, quality and customer qualification are still potential gating factors despite supplier diversification.
- No separate unqualified AI substrate TAM growth multiplier is applied, and the 4x area / 8x capacity example is not multiplied together.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q1_2026_27_DE.pdf
https://ats.net/download/quartalsbericht-1-quartal-2026-27/?wpdmdl=64451
Archived source SHA-256: 136869876a9039248c7bfe5cb50326e76dba87e0324680b3afbbf15c2f0c3f26

[2] Investor_presentation.pdf

https://ats.net/download/investorenpraesentation/?wpdmdl=6167

Archived source SHA-256: 82868602517b1c6478c3f1760be57483a529561568d885b80a562cd1723c9834

[3] Q1_2026_27_call.pdf

https://ats.net/download/conference-call-q1-2026-27/?wpdmdl=64453

Archived source SHA-256: 08855e67757063814553b8d39cf8aa9aa4f2d3fb0b68ebb5548532b9a1849d45

[4] FY2025_26_DE.pdf

https://ats.net/download/geschaeftsbericht-2025-26/?wpdmdl=61787

Archived source SHA-256: 85870b699b7cae65599563ff45624907d258ab7ca4421f8548747789ab85ebd6

[5] FY2025_26_call.pdf

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[6] MRVL_2026_09_22.html

https://ats.net/en/ir-news/ats-and-marvell-technology-expand-collaboration-to-support-next-generation-ai-infrastructure/

Archived source SHA-256: cdd9662d14b211b4ca4a1c17675593d500d8004d3f7913ed5cd602d9d54406f0

[7] Q1_release_2026_08_04.html

https://ats.net/en/ir-news/ats-delivers-a-strong-first-quarter-and-reaffirms-full-year-guidance/

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[8] Vienna_quote_2026_10_07.html

https://www.wienerborse.at/en/stock-prime-market/at-s-austria-tech-systemtech-AT0000969985/

Archived source SHA-256: 409dbf464f6950449d8cd3b4d58e6294998fea014c314674b3880c811cd599ce

[9] Share_identity.html

https://ats.net/investoren/aktie/

Archived source SHA-256: bfb7bda1e8ab5e599fb1f25acbcf140bd209405e485f0f8605dfa2694ed6479f

Model formulas and equity bridge: 20x forward-four-quarter IFRS EBIT, including the valuation quarter, less EUR953.955m opening net debt, EUR350m old hybrid and the unfunded construction cash reserve. Expected customer funding offsets 65% of that reserve. Divide by 40.4248031496m fully converted shares; the EUR400m convertible is never also deducted. Revenue, gross margins, costs, conditional deltas, financing and share inputs are shown above. The workbook links the active ceiling to the same saved model.

TrendForce Weekly Radar005, October12,2026: https://insights.trendforce.com/p/weekly-radar-005; original chartSHA256 88b46fb02a530f18619c8cd587d090aacace902e8bd85b34f451af383c25d87e. Same industry forecast as October 5; no second source weight.

SemiAnalysis October 12 five-post thread: https://x.com/SemiAnalysis_/status/2109660707755077654 . Five original texts reviewed; original charts pending separate inspection. Unit/geometry counter-evidence, not a new numerical shock.